

		The primary argument presented by Defendants is that these COAs are barred by the economic loss rule (the “ELR”), based on the recent decision in <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1. But <i>Rattagan</i> concerned tort claims based on conduct during a contractual relationship: it specifically did not address claims of fraudulent inducement by concealment in the Song-Beverly context. (<i>Id.</i> at 41, fn. 12.) In contrast, <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828 addresses claims in this context, and after <i>Rattagan</i> was decided, review of <i>Dhital</i> was dismissed. Under <i>Dhital</i>, fraudulent inducement by concealment claims are not barred by the ELR. (<i>Dhital v. Nissan North America, Inc.</i>, <i>supra</i>, 84 Cal.App.5th at 843.) The Demurrer to COA 6, based on the ELR, thus fails here. The Demurrer for COA 5 on ELR grounds is based on the same reasoning, and thus fails as well. Defendants also argue that these COAs are not adequately pled. But for COA 5, the Complaint asserts at ¶ 61 that Villa “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards,” and at ¶ 7 that the vehicle value has thus been diminished. The Demurrer fails to show why those allegations do not suffice for pleading purposes. For COA 6, Plaintiffs have alleged that Ford knew vehicles with the same transmission suffered from the stated defects but concealed that from consumers, that Plaintiffs would not have purchased the vehicle if they had known thereof, and that the vehicle value has thus been diminished. (Complaint, ¶¶ 7, 24 - 35 and 64-73.) They have also alleged a factual basis for a duty to disclose known defects. (See <i>Dhital v. Nissan North America, Inc.</i>, <i>supra</i>, 84 Cal.App.5th at 843; <i>Gilead Tenofovir Cases</i> (2024) 98 Cal.App.5th 911, 949 [“a vehicle manufacturer owes a duty to purchasers of its vehicles to disclose known defects”].) The Demurrer fails to show why those allegations do not suffice for pleading purposes. The Demurrer is therefore OVERRULED. <i>Defendants are to file their Answers within 10 days and are to give notice of this ruling.</i>
10.	Fischer v. Fischer 24-1377424	Before the Court are the following motions: (1) demurrer filed by Defendants Ameristar Real Estate and Investments, Inc. (Ameristar), Fastrack Escrow, Inc.

(Fastrack), and Jasdeep Kochar aka Jazz Kochar (J. Kochar) directed to the First Amended Complaint (FAC) of Plaintiff William M. Fischer (Plaintiff); (2) motion to strike portions of the FAC filed by Ameristar, Fastrack, and J. Kochar; and (3) demurrer to the FAC filed by Defendant Jennifer L. Fischer (Defendant Fischer).

**Motion No. 1: Demurrer by Ameristar, Fastrack
and J. Kochar**

Statute of Limitations

In ruling on a general demurrer based on statute of limitations grounds, the running of the statute must appear "clearly and affirmatively" from the face of the complaint. It is not enough that the complaint might be time-barred. (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42; *Stueve Bros. Farms, LLC v. Berger Kahn* (2013) 222 Cal.App.4th 303, 321.)

"[A] cause of action accrues at 'the time when the cause of action is complete with all of its elements' [Citation] An important exception to the general rule of accrual is the 'discovery rule,' which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action. [Citation] [¶] A plaintiff has reason to discover a cause of action when he or she 'has reason at least to suspect a factual basis for its elements.'" (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 807.)

"The discovery rule only delays accrual until the plaintiff has, or should have, inquiry notice of the cause of action. The discovery rule does not encourage dilatory tactics because plaintiffs are charged with presumptive knowledge of an injury if they have information of circumstances to put [them] on inquiry or if they have the opportunity to obtain knowledge from sources open to [their] investigation. [Citation.] In other words, plaintiffs are required to conduct a reasonable investigation after becoming aware of an injury, and are charged with knowledge of the information that would have been revealed by such an investigation." (*Id.* at 807-808, quotations and italics omitted; see also, *E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1318-1319.)

The existence of the means to obtain information, such as through public records, is equivalent to actual knowledge of that information "only where there is a duty to inquire, as where plaintiff is aware of facts which would make a reasonably prudent person suspicious." (*Hobart v. Hobart Estate Co.* (1945) 26 Cal.2d 412, 438.)

Moving Defendants contend that Plaintiff's claims, filed more than 6 years after the recording of the grant deeds for the Subject Properties, are barred by the applicable statute of limitations based on constructive and inquiry notice of said publicly recorded grant deeds. The FAC, however, sufficiently alleges facts showing application of the delayed discovery rule to Plaintiff's claims, as Plaintiff argues in the Opposition. (See FAC ¶¶ 28, 32.) The allegations appear sufficient at the pleading stage to show that Plaintiff had no reason to suspect wrongdoing related to the Subject Properties prior to 2023 due to the fraudulent financial reports provided to him, and thus there was no duty to inquire as to the ownership of the Subject Properties. The allegations in the FAC are sufficient to show the delayed discovery rule applies to Plaintiff's claims.

Accordingly, the demurrer on statute of limitations grounds is **OVERRULED**.

Third Cause of Action

Moving Defendants contend the third cause of action is barred by the Statute of Frauds. It appears from the allegations of the FAC that the agreement between Plaintiff and Defendant Fischer was an oral agreement that by its terms is not to be performed within a year from the making thereof, and/or that the agreement was for the leasing of real property for a longer period than one year. (See FAC ¶ 21.) The agreement would thus violate the statute of frauds as Moving Defendants argue. (*Civ. Code, § 1624, subd. (a)(1), (3).*) Plaintiff failed to address this argument in the Opposition.

The demurrer on statute of frauds grounds is therefore **SUSTAINED WITH 20 DAYS LEAVE TO AMEND**.

Moving Defendants also argue the third cause of action fails because there are no facts that they had any knowledge of the purported oral contract between Plaintiff and Defendant Fischer, and there are no facts that they engaged in any act to deceive Plaintiff from discovering the Subject Properties had been sold by Defendant

Fischer to Defendant Rogers. Contrary to Moving Defendants' argument, the FAC adequately alleges that Moving Defendants had knowledge of the contract between Plaintiff and Defendant Fischer, and that they engaged in acts to deceive Plaintiff from discovering the Subject Properties had been sold. (See, e.g., FAC ¶¶ 12a, 29-30, 46, 88-89.)

The demurrer on this ground is **OVERRULED**.

Fifth Cause of Action

Moving Defendants contend the fifth cause of action fails because Plaintiff failed to allege facts showing Moving Defendants owed him a fiduciary duty.

The general rule is that a party who is not personally bound by the duty violated may not be held liable for civil conspiracy even though it may have participated in the agreement underlying the injury. (See *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal. 4th 503, 511 ["By its nature, tort liability arising from conspiracy presupposes that the coconspirator is legally capable of committing the tort, i.e., that he or she owes a duty to plaintiff recognized by law and is potentially subject to liability for breach of that duty."].) However, an exception to this rule exists when the participant acts in furtherance of its own financial gain and not merely as an agent or employee of fiduciary defendants. (*Mosier v. Southern California Physicians Ins. Exchange* (1998) 63 Cal.App.4th 1022, 1048; *Skarbrevik v. Cohen, England & Whitfield* (1991) 231 Cal.App.3d 692, 709.)

Here, as Plaintiff points out in the Opposition, the FAC alleges that Moving Defendants acted for their own financial gain, and they had an independent financial motive for their actions. (See FAC ¶¶ 12a, 29-31, 98-99.)

Based on the foregoing, the demurrer on this ground is **OVERRULED**.

Sixth Cause of Action

Moving Defendants contend the sixth cause of action fails because there are no allegations that Plaintiff entered into any contract with Moving Defendants.

"The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation." (*Racine & Laramie, Ltd. v. Department of*

Parks & Recreation (1992) 11 Cal.App.4th 1026, 1031.) Here, the FAC fails to allege the existence of a contract involving Moving Defendants. Thus, there is no contract to which an implied covenant of good faith and fair dealing claim against Moving Defendants could attach.

Plaintiff has not shown that the exceptions regarding civil conspiracy to commit breach of fiduciary duty apply to a claim for civil conspiracy to commit breach of the covenant of good faith and fair dealing, when the latter requires an underlying contract.

Based on the foregoing, the demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

Seventh Cause of Action

Moving Defendants appear correct that the seventh cause of action for conversion and civil conspiracy for conversion fails because the tort of conversion does not apply to real property. "The tort of conversion applies to personal property, not real property." (*Salma v. Capon* (2008) 161 Cal.App.4th 1275, 1295.) Plaintiff failed to address this argument in the Opposition.

The demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

Ninth Cause of Action

Moving Defendants are correct that the ninth cause of action fails to sufficiently plead a misrepresentation to Plaintiff and justifiable reliance thereon. (See FAC ¶¶ 113-114; *Philipson & Simon v. Gulsvig* (2007) 154 Cal.App.4th 347, 363 [elements of fraud].)

The demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

Motion No. 2: Motion to Strike by Ameristar, Fastrack and J. Kochar

Moving Defendants move to strike the prayer for attorney's fees in the FAC. Plaintiff filed a non-opposition to the motion stating that Plaintiff does not oppose the motion to strike. (See ROA 107.) The motion is therefore **GRANTED.**

Motion No. 3: Demurrer by Defendant Fischer

As an initial matter, the Court notes Defendant Fischer's demurrer is 19 pages and thus violates *California Rules of Court, rule 3.1113(d)*, which provides that no opening or responding brief may exceed 15 pages. The Court will exercise its discretion and consider the entirety of the demurrer but admonishes Defendant Fischer to abide by the rules of court for future filings.

Motion to Dismiss or Stay

Defendant Fischer contends this action should be dismissed or stayed because the family law court has exclusive subject matter jurisdiction over the Subject Properties. Defendant Fischer presents no evidence showing that the Subject Properties are assets at issue in the family court proceeding. Defendant Fischer filed a request for judicial notice in support of this demurrer and motion to dismiss in which she only provides copies of, and seeks judicial notice of, the grant deeds related to the Subject Properties. (See ROA 97.) Defendant Fischer has not submitted copies of any family law documents in connection with the instant motion to dismiss. Thus, Defendant Fischer has not shown that the Subject Properties are in fact an asset to be addressed in the family court action and that said action involves the same claims as the instant action as Defendant Fischer argues.

Based on the foregoing, the motion to dismiss or stay is **DENIED**.

Statute of Limitations

Defendant Fischer contends all of Plaintiff's claims are barred by the applicable statute of limitations based on constructive and inquiry notice of the publicly recorded grant deeds for the Subject Properties. Defendant Fischer's argument fails for the same reasons discussed above in connection with the demurrer brought by defendants Ameristar, Fastrack, and J. Kochar.

Accordingly, the demurrer on statute of limitations grounds is **OVERRULED**.

Statute of Frauds

Defendant Fischer contends Plaintiff's causes of action against her are barred by the Statute of Frauds. Defendant Fischer's argument pertaining to the Statute of Frauds is well-taken for the same reasons discussed

above in connection with the demurrer brought by defendants Ameristar, Fastrack, and J. Kochar.

The demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

Second Cause of Action

Defendant Fischer is correct that the allegations pertaining to the contract are uncertain as Plaintiff fails to allege the material terms of the contract and does not clearly allege whether it is oral, implied in fact or written. The demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

Fifth Cause of Action

Defendant Fischer contends this claim fails because Plaintiff has not alleged any damage in the underlying breach of fiduciary duty claim that would or could have occurred as a result of Defendant Fischer's alleged creation of false accounting reports in 2022 or 2023. This argument fails to take into account that the FAC also alleges damages based on the sale of the Subject Properties and not merely the creation of false accounting reports. A demurrer does not lie to a portion of a cause of action. (*Elder v. Pacific Bell Telephone Co.* (2012) 205 Cal.App.4th 841, 856 fn 14.) The demurrer on this ground is **OVERRULED.**

Seventh Cause of Action

Defendant Fischer contends this claim fails because conversion cannot apply to real property. The argument is well-taken. (*Salma v. Capon* (2008) 161 Cal.App.4th 1275, 1295.) The demurrer on this ground is **SUSTAINED WITH 20 DAYS LEAVE TO AMEND.**

The requests for judicial notice filed by defendants (ROA 77 and 97) are **GRANTED** as to the existence, date of recordation and clear legal effects of the records, but not the truth of any facts alleged therein. (*Evid. Code* § 452(c), (h); *Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal.App.4th 1106, 1117; *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 264-265.)

Counsel for Plaintiff is ordered to give notice of these rulings.

11.	Tavik Industries, LLC v. Incipio Technologies, Inc. 19-1087170	Before the Court at present is the Motion to Quash Plaintiff Tavik Industries, LLC's Subpoena For Production Of Business Records To Incipio (Assignment For The Benefit Of Creditors), LLC, filed by Non-Party Buchalter, A Professional Corporation ("Buchalter") on 11/18/24. Defendant Monroe Capital Management Advisors, LLC ("MCMA") filed a Joinder on 4/3/25. By this Motion. Buchalter seeks an order quashing the subpoena issued by Plaintiff Tavik Industries, LLC ("Plaintiff") on 10/25/24 to an entirely separate non-party, Incipio (Assignment for The Benefit Of Creditors), LLC ("ABC"), as shown in ROA 558, Ex. A, for Request Nos. 1, 2, 4-9, and 12-16 in the Subpoena. As a preliminary matter, it is not apparent that Buchalter even has standing to bring the Motion. Buchalter does not claim to represent the subpoenaed party, ABC. Instead, it seeks relief based on its assertion that communications which are (or at least were) subject to the attorney-client privilege between Buchalter and its former clients, Incipio Technologies, Inc. ("ITI") and Incipio, LLC ("Incipio"), are within the scope of the requests at issue. However, <i>C.C.P. § 1987.1(b)</i> identifies categories of persons with standing to bring a motion to quash thereunder. Buchalter has not shown that any of those categories apply to it here. Buchalter claims that it nonetheless has standing, citing <i>Powers v. Ohio</i> (1991) 499 U.S. 400, 410 for the proposition that litigants may assert the legal rights of third parties if, among other things, the litigant would suffer a distinct and palpable injury. But Buchalter is not a litigant here. Nor has it shown that it would suffer a distinct and palpable injury without the requested relief, as the client is the holder of the attorney-client privilege. (<i>OXY Resources California LLC v. Superior Court</i> (2004) 115 Cal.App.4th 874, 901; <i>Ev. Code §§ 953, 954</i>.) Buchalter has not shown here that it is authorized to assert the attorney-client privilege on behalf of its former clients under <i>Ev. Code §954</i>. Nor has it addressed who now holds the rights to assert that privilege. If it is ABC, there is no evidence presented here to show that ABC is asserting any privilege claim as to prior communications between ITI/Incipio and Buchalter. If it is not ABC, yet ABC was provided with materials otherwise subject to an attorney-client privilege which had belonged to ITI/Incipio, potential waiver has not been adequately addressed here. In addition, even if the belated joinder by MCMA could suffice to support a claim of standing under <i>C.C.P. § 1987.1</i>, it has shown no basis for relief here, as it does
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